

Scottish Budget 2026 to 2027: Scottish tax ready reckoners

Summary

This note presents a set of ready reckoners which show the estimated revenue impact of illustrative changes to Scottish tax policy in 2026-27, including Income Tax, Land and Buildings Transaction Tax (LBTT) and Non-Domestic Rates (NDR), relative to the policies announced for 2026-27. These have been produced by the Scottish Government but are consistent with the latest January 2026 forecasts of the independent Scottish Fiscal Commission (SFC). Official policy costings are produced by the SFC and therefore these ready reckoners are for illustration only.

Introduction

Building on our Framework for Tax, Scotland's Tax Strategy¹ outlines our approach to tax policymaking, an important part of which is to engage more with stakeholders and increase public understanding of tax policy. As part of this approach, the Scottish Government has published 'ready reckoners' annually since March 2021, first for Income Tax and now for other devolved taxes. This is in line with similar publications by HMRC and the Welsh Government². Because some devolved taxes such as Scottish Landfill Tax and Scottish Aggregates Tax are principally designed to influence behaviour in support of wider circular economy policy rather than to raise revenue, ready reckoners for them are not included. The purpose of the ready reckoners is to assist researchers and policymakers in considering the revenue impacts of illustrative policy changes to improve transparency and facilitate public understanding in this area.

The ready reckoners in Table 1 provide an order of magnitude of how much revenue could be raised, or foregone, over and above the policies announced for 2026-27. For example, a 1p increase in the Starter Rate of Income tax is estimated to raise £110m in addition to the 2026-27 policy package. They are not intended to be exhaustive, but can be used to understand the potential impacts of tax policy proposals on the Scottish Budget.

The ready reckoners have been produced by Scottish Government analysts using in-house economic models that are in line with the SFC's general framework and assumptions for policy costings, as set out in detail by the SFC in May 2021.³ In practice, the SFC costs policies on a case-by-case basis, considering the details of each individual policy and the wider economic context. The ready reckoners should therefore be used to provide only a broad indication of the potential revenue impacts, as the SFC's final policy costings when produced following a tax change may differ.

The ready reckoners only show the direct impact on Scottish tax liabilities and receipts and do not include any wider effects on the Scottish economy, other devolved or local tax receipts, or

¹ See [Scotland's Tax Strategy: Building on our Tax Principles](#)

² See for example [HMRC Direct effects of illustrative tax changes](#) and [Welsh rates of Income Tax ready reckoner 2025 to 2026](#).

³ See Scottish Fiscal Commission, [How We Forecast Income Tax](#) and [How we forecast devolved taxes](#), May 2021

UK Government revenues. Some behavioural responses are captured for Income Tax and for the rates of residential LBTT, non-residential LBTT and the (residential) Additional Dwelling Supplement. These behavioural responses include, for example, decisions on whether to work or not, whether to re-locate to or from other parts of the UK or the world to Scotland, or whether to proceed with or how much to pay for the purchase of land or property. No behavioural responses are included for NDR.

All ready reckoners assume that there is no forestalling behaviour. Forestalling refers to a situation where taxpayers move income, or transactions, across time for the specific purpose of minimising their tax burden (e.g. bring forward income, or a transaction, to avoid a future tax rate increase, or delay income, or a transaction, to benefit from a future tax rate decrease).

Table 1: Scottish Tax Ready Reckoners, 2026-27**Illustrative tax change****Estimated revenue
impact, 2026-2027,
£ million**

Income Tax Rate Changes*	
Increase Starter rate by 1p	110
Increase Basic rate by 1p	258
Increase Intermediate rate by 1p	154
Increase Higher rate by 1p	101
Increase Advanced rate by 1p	25
Increase Top rate by 1p	4
Decrease Top rate by 1p	-6
Income Tax Threshold or Band Changes	
Increase the Starter rate band by £100	-3
Reduce the Starter rate band by £100	3
Increase the Basic rate band by £1,000	-15
Reduce the Basic rate band by £1,000	15
Increase the Higher rate threshold by £1,000	-141
Reduce the Higher rate threshold by £1,000	159
Increase the Advanced rate threshold by £1,000	-4
Decrease the Advanced rate threshold by £1,000	4
Residential LBTT policy rate changes	
Increase rate applicable to £145,001-250,000 band by 1% point**	37
Increase rate applicable to £250,001-325,000 band by 1% point	15
Increase rate applicable to £325,001-750,000 band by 1% point	15
Increase rate applicable to above £750,000 band by 1% point	0
Decrease rate applicable to £145,001-250,000 band by 1% point**	-39
Decrease rate applicable to £250,001-325,000 band by 1% point	-15
Decrease rate applicable to £325,001-750,000 band by 1% point	-17
Decrease rate applicable to above £750,000 band by 1% point	-1
Additional Dwelling Supplement (ADS) policy changes***	
Increase ADS rate by 1% point	8
Decrease ADS rate by 1% point	-11
Non-residential LBTT policy changes	
Increase rate applicable to £150,001-250,000 band by 1% point	2
Increase rate applicable to the above £250,000 band by 1% point	20
Decrease rate applicable to £150,001-250,000 band by 1% point	-2
Decrease rate applicable to the above £250,000 band by 1% point	-27
Non-Domestic Rates policy changes	
Increase the Basic Property Rate by 1p	13
Increase the Intermediate Property Rate by 1p	7
Increase the Higher Property Rate by 1p	49

* For Income Tax rate changes, the impacts of tax increases and tax decreases are broadly symmetric. This means a 1p increase in any rate will raise broadly the same amount as a 1p decrease in that same rate would cost. Top Rate costings are considerably uncertain due to the likely stronger behavioural responses at this level.

** The zero-rate threshold for home movers is equal to £145,000. For first-time buyers the threshold is £175,000.

*** Estimated revenue impacts of a change in the ADS rate are based on those transactions which are liable for ADS and where no claim for repayment is expected to be made in the future (the share of such transactions is estimated taking into account historic trends). In line with judgements made by the SFC, we assume the "main" market (i.e. residential LBTT transactions which do not pay ADS) absorbs 50% of the 'lost' ADS transactions caused by an increase in the ADS rate in the first year of this policy (similarly for a rate cut, 50% of additional ADS transactions are assumed to switch from the main market). See the main text for further discussion.

Income Tax

The Scottish Parliament has the power to set Income Tax rates and bands for the non-savings non-dividend (NSND)⁴. The Scottish Parliament must pass a Scottish Rate Resolution before the start of the tax year setting Income Tax policy for the year ahead. It is not possible to make any in-year changes to Income Tax policy. The responsibility for defining the Income Tax base, which includes the setting or changing of Income Tax reliefs and exemptions, and the tax-free Personal Allowance, remains reserved to the UK Parliament. Income Tax on savings and dividends is also reserved. Table 2 sets out the rates and bands under the announced policy for 2026-27 which forms the counterfactual for the policy costings. In other words, the Income Tax ready reckoners measure revenue impacts from a policy in addition to the Scottish income Tax policy in Table 2.

Table 2: Scottish Income Tax Policy, 2026-27

Rate Name	Income Range	Rate
Starter rate	£12,570 - £16,537	19%
Basic rate	£16,538 - £29,526	20%
Intermediate rate	£29,527 - £43,662	21%
Higher rate	£43,663 - £75,000	42%
Advanced rate	£75,001 - £125,140	45%
Top rate	Over £125,140	48%

The Income Tax policy choices available to the Scottish Parliament include: the number of tax bands; the tax rates that apply to these bands; and the thresholds where bands begin and end. The ready reckoners in Table 1 can be used to show the additional revenue raised (or foregone) from individual components as well as any combination of these, for example:

- The revenue implications of any combination of policies can be broadly estimated by summing the impact of each individual change. For example, a policy which adds 1p to each rate would raise around £652 million in estimated revenue (over and above the changes announced for 2026-27). However, if thresholds are changed substantially, and combined with rate changes, there might be interactions which mean that the policy effects are not purely additive.
- The estimates can also be scaled up or down to some extent, in that a 2p rise in a tax rate will broadly raise twice as much as a 1p increase. This approach is reasonable for changes of up to a few percentage points. However, caution should be applied when assessing larger changes, particularly to the Top rate, as top earners are much more likely to be responsive to tax changes.
- For rate changes, the impacts of tax increases and tax decreases are also broadly symmetric so that a 1p cut in the Intermediate rate would cost around £154 million. However, caution needs to be applied for threshold changes where the effects of increases and decreases are not fully symmetric.

⁴ This includes property income, which in Scotland cannot currently be taxed at a different rate from other NSND income. However, the UK Government set separate rates for this in England and Northern Ireland from April 2027 in the latest Budget and the Finance Bill will transfer similar powers to Scotland.

- Threshold changes cannot be scaled up or down as easily, as any change in the band, or threshold, would affect the tax base itself, i.e. the number of taxpayers affected by the policy.
- The table illustrates increases to the Starter Rate band of +/-£100 and for other thresholds of +/-£1,000. To put this into context, inflationary uprating of the Income Tax bands at 3.8% (the September 2025 Consumer Price Index typically used for uprating) would be equivalent to a £1,177 increase in the Higher rate threshold.
- No further policy changes to the Top rate threshold have been assessed at this stage. This is because the Scottish Government cannot make changes to the Personal Allowance taper rate or taper thresholds. The UK-wide Personal Allowance is withdrawn for taxpayers who earn more than £100,000 at a rate of £1 for every £2 earned over £100,000. Taxpayers earning more than £125,140 do not benefit from the Personal Allowance. These taxpayers face a marginal rate of Income taxation of 67.5% on earnings between £100,000 and £125,140. Reducing the Top rate threshold below £125,140 would increase this marginal rate further.
- In the case of the Top rate, revenue effects are particularly uncertain as there is a risk that behavioural responses might significantly reduce the additional yield, or costs, from a rate change. Based on the SFC's current behavioural framework, these policies would have a relatively modest impact on tax revenues. However, as illustrated in the Scottish Government's evaluation of the 2018-19 policy changes, there is also a risk that any increase in the Top rate could lose revenue⁵ and this risk could increase, the greater the divergence with the highest marginal rate in the rest of the UK.
- The ready reckoners do not include any potential effects of forestalling which might occur when taxpayers move income across years to minimise their tax liabilities. This is particularly relevant where tax policy changes are known well in advance of the beginning of the tax year.

Areas of uncertainty

There are a number of uncertainties when it comes to producing ready reckoners. The first is in the scale of the behavioural response. Evidence on behavioural responses, such as Scottish taxpayers emigrating or withdrawing from the labour force, is an essential consideration for tax policy decisions. HMRC (working with Scottish Government) published two reports⁶ last year on better understanding behavioural response and taxpayer movement across the UK. The research suggests that overall net migration to Scotland has been positive and increasing since Income Tax policy in Scotland has diverged. However, net migration of people with taxable income would most likely have been higher in the absence of the move to a five-band system in 2018-19, and the analysis could not find evidence of the effect persisting in future years. The research also did not find any evidence that the 2018-19 change affected decisions about whether to work or not. With 2023-24 data now available, analysis is being undertaken on more recent policy changes. The SFC regularly review their behavioural assumptions, and the ready reckoners set out above are based on their latest behavioural parameters which remain unchanged from the December 2024 budget.

⁵ Scottish Government, [Scottish Income Tax: 2018-19 Policy Evaluation](#), December 2021

⁶ See [Labour market participation and intra-UK migration of taxpayers - GOV.UK \(www.gov.uk\)](#)

The second area of uncertainty relates to the economic assumptions underpinning the costings. For example, how fast nominal earnings grow is a key determinant in the extent to which people are pulled into higher tax bands, also known as fiscal drag. This effect is more pronounced as UK-wide allowances and some Scottish bands and thresholds are frozen in 2026-27. Fluctuations in wage growth can have a material impact on costings, as seen in the latest Autumn Budget, with the OBR forecasting higher growth in income tax receipts due to higher nominal wages than first expected in March 2025.

Finally, detailed information on the Income Tax base is only available with a significant lag, largely due to the timing of Self Assessment receipts. The Income Tax model is based on 2022-23 microdata, aligned to the 2023-24 outturn, thus introducing another source of uncertainty as changing macroeconomic conditions since then will not be fully reflected in the data.

Land and Buildings Transaction Tax

Land and Buildings Transaction Tax (LBTT) is a fully devolved tax which came into effect from 01 April 2015. It applies to residential and non-residential land and buildings transactions (including commercial leases) where a chargeable interest is acquired.

The tax applies a progressive rates and bands structure, with the marginal tax rate increasing as the value of the transaction increases. The current rates and bands for residential and non-residential LBTT conveyances are set out in Tables 3 and 4 below.⁷

For certain transactions, the Additional Dwelling Supplement (ADS) may also apply in addition to LBTT at a flat 8% rate.

Rates, bands, reliefs and any other elements of LBTT tax policy can be amended through legislation, subject to approval by the Scottish Parliament.

Table 3: Residential Rates and Bands, 2026-27

Proportion of consideration in each band	Rate
£0-£145,000*	0%
£145,001-£250,000	2%
£250,001-£325,000	5%
£325,001-£750,000	10%
Above £750,000	12%

*For first-time buyers the nil rate band ceiling is £175,000 due to the availability of a relief.

⁷ For non-residential leases, the tax payable is based on any lease premia and the net present value of the rent payable i.e. a different basis to non-residential conveyances. For simplicity, we have excluded non-residential leases from the ready reckoner.

Table 4: Non-Residential Rates and Bands, 2026-27

Proportion of consideration in each band	Rate
Up to £150,000	0%
£150,001 to £250,000	1%
Above £250,000	5%

Table 1 illustrates the estimated revenue gains and losses when these marginal LBTT tax rates are increased, or decreased, in isolation for each tax band.

The cumulative revenue impact of changing the tax rate in all bands by one percentage point is not equal to the sum of changing the tax rate in each tax band by one percentage point due to the way in which behavioural elasticities are calculated. However, for small changes in tax rates, summing up the impacts of changes in individual tax bands will give a reasonable approximation of the overall tax impact.

Changes to residential LBTT rates can have an impact on both core residential LBTT revenue and LBTT ADS revenue. This is also the case for any change to the ADS rate. Accordingly, the revenue impacts in Table 1 reflect the sum of the impacts on both elements of LBTT.

For example, an increase in the ADS rate is assumed, through behavioural effects, to reduce core residential LBTT revenue due to the loss of the LBTT on those ADS transactions which do not proceed. However, this will be partly offset to the extent that any “lost” ADS transactions are absorbed by the main LBTT market (i.e. residential transactions which are not liable for ADS). Consistent with judgements made by the SFC, we assume that 50% of transactions lost due to the ADS increase will be absorbed by the main market in the first year of the policy.

Annual estimates of the impact of a change to the ADS rate on revenue are further complicated by the need to consider the potential for repayments to occur during later years. For example, although a one percentage point increase in the ADS rate in 2026-27 from its current level of 8% would result in relevant transactions paying at an ADS rate of 9%, some repayments claimed in 2026-27 would relate to transactions from previous years where ADS was paid at a 6% or 8% rate. Without an adjustment to take account of this, the estimated revenue impact for 2026-27 would tend to overstate the long-run position, in which payments and repayments would be based on the same rate. The reverse would be true for a reduction in the ADS rate. To avoid this, the estimated revenue impact presented in Table 1 is based on the change in revenue from those transactions where no claim for repayment is expected to be made.

Areas of uncertainty

Some key types of uncertainty which affect costings of changes to property transaction taxes are set out below.

- Forecasts involving the residential or the non-residential property markets involve estimating the path of both transactions and property market prices. These are inherently difficult to predict as they are influenced by many factors, including: the cost of borrowing; cost of construction materials; earnings and employment; and wider economic growth.
- For any transaction tax (such as LBTT), forecasting the number of transactions is complex, as households and businesses generally have more discretion about when to purchase long-term assets such as property than they do about other types of more day-to-day spending. Since a relatively small share of higher-value residential, and particularly non-residential, transactions account for a large share of revenue, uncertainty around transaction levels at the top end of the market can have a significant impact on revenues.
- As a result, when taxes change there will be an associated behavioural change (transactions may be initiated, postponed, or cancelled). Measuring the extent of these behavioural changes relies on accurately predicting the tax elasticities (the responsiveness) associated with that change. Data from which such elasticities can be derived is often limited and/or dated and/or not specific to Scotland, and the policy costings therefore relies on judgement from the SFC on which elasticities to use. We have replicated the SFC's elasticities and approach to behaviour in our costings.

Non-Domestic Rates

Non-Domestic Rates (NDR), sometimes referred to as business rates, are a form of property tax paid by businesses, charities, and public sector organisations, which help pay for local services. The amount of NDR paid is determined by applying the relevant tax rate to a property's rateable value (RV), less any reliefs that have been awarded. The Scottish Government is responsible for setting NDR policy, whilst local councils are responsible for the administration of NDR.

The NDR ready reckoners provide an order of magnitude estimate of NDR revenue that could hypothetically be raised in addition to existing policy for 2026-2027, by varying key policies of the NDR tax system: the Basic Property Rate (BPR, often referred to as poundage), the Intermediate Property Rate (IPR), and the Higher Property Rate (HPR). Tax rates cannot be amended in-year.

As set out in Table 5, there are around 260,000 non-domestic properties that are liable to pay NDR, although properties that receive a relief will receive a reduced or nil net NDR liability⁸. Any changes to the Basic Property Rate (poundage) would change the gross NDR bills (before reliefs) for around 236,200 properties with RV up to and including £51,000. The Intermediate

⁸ As at 1st June 2025, 124,990 (49% of all non-domestic properties) received an exemption from rates or a 100% relief. Any property receiving 100% rates relief would not pay more in NDR as a result of a change in rates. [Non-domestic rates relief statistics 2025 - gov.scot \(www.gov.scot\)](https://www.gov.scot/publications/non-domestic-rates-relief-statistics-2025/pages/12.aspx)

Property Rate is applied to around 10,800 properties, and the Higher Property Rate is applied to around 12,600 properties.

Table 5: Non-Domestic Rates Thresholds, 2026-27

Band of Rateable Value	Rate	Number and proportion of NDR properties
RV up to £51,000	48.1p	236,200 (91%)
RV over £51,000 and up to £100,000	53.5p	10,800 (4%)
RV over £100,000	54.8p	12,600 (5%)

The NDR ready reckoners in Table 1 relate to the Contributable Amount of NDR, which is forecast by the SFC. The Contributable Amount is the revenue collected by local councils and transferred to the Scottish Government. The Contributable Amount is notionally pooled in the NDR rating account and is then redistributed to councils as the Distributable Amount, as part of the Local Government Finance Settlement. The Distributable Amount is set in the Budget and remains unchanged during the financial year. Differences between the Distributable and Contributable Amounts are managed through the Non-Domestic Rating Account (the 'NDR pool')⁹.

Table 1 shows the additional benefit to the Scottish Budget of increases to NDR tax rates:

- A 1p increase to the Basic Property Rate (or poundage) would increase NDR revenues by around £13m in 2026-2027.
- A 1p increase to the IPR would increase NDR revenues by around £7m in 2026-2027.
- A 1p increase to the HPR would increase NDR revenues by around £49m in 2026-2027.

The Basic, Intermediate, and Higher Rates are separate rates that do not affect each other. For example, increasing the BPR by 1p would not change the amount paid by ratepayers liable for IPR or HPR.

Any combination of NDR policies in Table 1 can be broadly estimated by summing the impact of each individual change. For example, a policy which adds 1p to the Basic, Intermediate, and Higher Property Rates would raise around £69 million. The estimates for rate changes can also be scaled up or down to some extent, in that a 0.5p rise in any rate would raise half as much as a 1p increase. In addition, for any rate change, the impacts of rate increases and rate cuts are also broadly symmetric, so that a 1p cut in the Basic Property Rate would reduce revenue by around £13 million.

⁹ For more information on the operation of the NDR pool, please see [The Scottish Government Non Domestic Rating Account for the year ended 31 March 2024 - gov.scot \(www.gov.scot\)](https://www.gov.scot/publications/non-domestic-rating-account-2024/pages/1-introduction.aspx)

Areas of uncertainty

The main area of uncertainty relates to the changes to the tax base due to occur as a result of the 01 April 2026 revaluation, and assumptions made with respect to revaluation proposals and appeals following that revaluation. Once resolved, a successful revaluation proposal or appeal will have the effect of reducing total RV and therefore NDR revenues, as ratepayers are re-billed on the basis of a lower RV for their property.¹⁰ Individual additions and deletions of properties subject to NDR will also affect total RV and revenue, which is subject to some in-year uncertainty.

A further area of uncertainty relates to new NDR policies that will be introduced on 01 April 2026. These include a general Transitional Relief, and specific Transitional Reliefs for small businesses, rural properties and businesses operating in the hospitality industry, and a relief for properties in the Retail, Hospitality, and Leisure sectors. The effect of a change in Basic Property Rate, Intermediate Property Rate, or Higher Property Rate on these policies does not scale in a linear or symmetric fashion.

¹⁰ For more information on the NDR appeals process, see [Non-domestic rates appeals - mygov.scot](https://mygov.scot/non-domestic-rates/appeals)



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The Scottish Government
St Andrew's House
Edinburgh
EH1 3DG

ISBN: 978-1-80643-637-8 (web only)

Published by The Scottish Government, January 2026

Produced for The Scottish Government by APS Group Scotland, 21 Tennant Street, Edinburgh EH6 5NA
PPDAS1693566 (01/26)

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